

The accumulation/ distribution technical indicator takes into account the volume and price movements which tells us if the asset is being accumulated or distributed. This means if the asset price is increasing and the indicator value is also increasing in a similar fashion, the asset is being accumulated and a specific buyer or group of buyers, who are buying in higher quantities repeatedly might be responsible for this. At the same time, if the asset price is increasing but the indicator value is not increasing, it shows that the buyer is not backed by high volumes and as a result, it is unlikely that the price increase will sustain itself for a considerable length of time.

On the contrary, if the asset price is declining and the A/D indicator is decreasing, then we can say that the asset is being distributed. The asset does not have buyers to support the asset and sellers are selling in higher volumes. As a result, the asset's price decline may continue for longer. However, if the asset price is declining but A/D indicator is flat or upwards, then it shows that the trend might reverse soon as the decline is not backed by volume.

So, this is what A/D indicator points out the volume and if they are associated with a price decline or a price increase of the asset. We will want to be on the side where the volumes are higher because the chances of sustained movement in that direction are much higher.

